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NSE: NBCC

BSE: 534309

SECTOR: CONSTRUCTION & ENGINEERING

NBCC (India) Ltd.

Initiating Coverage — Government-Backed Project Management Consultancy & Urban Redevelopment Platform

ANALYST RECOMMENDATION

HOLD

Target Price ₹68–75 | CMP ₹99.6 | Downside 25–32%

MARKET CAP

₹26,884 Cr

CMP (3-JUL-26)

₹99.6

52-WK RANGE

₹77–126

P/E (TTM)

44.8x

P/B

9.84x

ROE (FY26)

24.1%

ROCE (FY26)

31.0%

ORDER BOOK

₹1.28 L Cr

Prepared by: Equity Research Desk — Infrastructure & Industrials Coverage

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Company Introduction & Overview

Corporate History & Evolution

NBCC (India) Limited was incorporated in 1960 as the National Buildings Construction Corporation, established as the Government of India's principal construction arm for public infrastructure. Headquartered in New Delhi, the company changed its name to NBCC (India) Limited in May 2016 to reflect its diversification beyond pure construction into project management consultancy, real estate development, and urban redevelopment. NBCC is classified as a Navratna Central Public Sector Enterprise (CPSE) under the Ministry of Housing and Urban Affairs, a status that grants it greater operational and financial autonomy relative to standard PSUs.

Government Ownership Structure

The President of India, acting through the Ministry of Housing and Urban Affairs, is the promoter of NBCC and held approximately **61.75% of equity** as of March 2026, a stake that has remained stable since FY22. The remaining shareholding is split between Foreign Institutional Investors (~5.0%), Domestic Institutional Investors (~10.8%), and public/retail shareholders (~22.5%). The government's continued majority ownership underpins NBCC's preferential access to central and state government redevelopment mandates, though it also exposes the company to policy and bureaucratic execution risk.

Core Business Model

NBCC operates an asset-light, fee-based model. Rather than deploying its own balance sheet capital into large infrastructure assets, the company primarily earns project management consultancy (PMC) fees for executing government redevelopment, housing, and institutional construction projects on behalf of client ministries and departments. This model requires minimal capex (fixed assets are under ₹650 crore against a ₹16,274 crore balance sheet) and benefits structurally from negative working capital, as client advances are typically received ahead of project spend.

Market Positioning & Industry Classification

NBCC is classified under Industrials > Construction & Engineering > Civil Construction. It competes at the intersection of PSU project consultancy (alongside RITES, Engineers India, Ircon) and diversified EPC/infrastructure (alongside larger players such as L&T). Its differentiated position is as the government's preferred in-house consultancy for urban redevelopment of General Pool Residential Accommodation (GPRA) colonies in Delhi and stalled private housing project revivals (Amrapali, Supertech).

Geographic Presence

NBCC's operations are concentrated in India, with the bulk of PMC revenue derived from central government ministries, defence establishments, and state government redevelopment mandates. The company has a growing international footprint through project execution and consultancy assignments in Mauritius, the Maldives, Seychelles, and more recently a real estate land acquisition in Dubai via its wholly owned subsidiary NBCC Overseas Real Estate LLC.

Key Milestones

- 1960:** Incorporated as National Buildings Construction Corporation.
- 2016:** Renamed NBCC (India) Limited; conferred Navratna status.
- 2017 onwards:** Awarded flagship GPRA redevelopment projects across Delhi (Sarojini Nagar, Nauroji Nagar, Netaji Nagar, and others), estimated topline potential of ~₹36,900 crore.
- 2019–2024:** Appointed by NCLT/Supreme Court to complete stalled Amrapali Group housing projects — over 32,500 units completed to date, with ~8,300 units under construction.
- 2024–2026:** Appointed to complete stalled Supertech housing projects (~50,000 units, estimated ₹10,000 crore topline opportunity) following a Supreme Court order.
- 2026:** Received government "No Objection" for the proposed merger of subsidiary HSCC (India) Limited into the parent, and expanded overseas real estate footprint into Dubai.

Competitive Advantages

- Preferential access to central government redevelopment mandates given Navratna/PSU status and demonstrated execution track record on politically sensitive stalled-project turnarounds.
- Asset-light, negative-working-capital model that structurally supports high ROE/ROCE (24%/31% in FY26) without leverage.
- Diversified fee streams: PMC consultancy fees, EPC contracting margins, and real estate marketing/inventory monetization.
- Large, revenue-visible order book (~₹1.28 lakh crore as of March 2026), roughly ~10x FY26 revenue.

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Management & Governance Analysis

Data limitation: Detailed, verified biographical information on the current Chairman & Managing Director and full Board composition was not independently confirmed via primary filings at the time of this report. NBCC's board underwent leadership changes in 2026 (consistent with typical PSU CMD rotation cycles), and this report avoids naming unverified individuals. Readers should consult NBCC's latest Annual Report and BSE/NSE corporate governance disclosures for current board composition.

Governance Structure (Structural Assessment)

As a Navratna CPSE, NBCC's Board of Directors follows the standard Government of India PSU governance framework: a Chairman & Managing Director appointed by the Ministry of Housing and Urban Affairs (typically an IAS or engineering-services officer with prior public-sector infrastructure experience), a mix of Government Nominee Directors, Functional/Whole-time Directors overseeing Commercial, Projects, Finance, and Human Resources verticals, and Independent Directors mandated under SEBI LODR norms.

Governance Observations

- Board composition compliance:** Peer PSU Ircon International was fined by NSE/BSE in 2026 for board-composition non-compliance, a reminder that PSU independent-director appointments are government-controlled and can lag SEBI norms — a structural governance risk applicable across this peer set including NBCC.
- CMD tenure/rotation risk:** PSU leadership typically rotates on a fixed tenure (3–5 years) tied to government service cadre norms rather than long-term equity-value creation incentives, which can create execution discontinuity during large multi-year redevelopment projects.
- Capital allocation:** Management has maintained a consistent dividend payout ratio (28–40% over FY22–FY26) and has kept the company virtually debt-free, reflecting a conservative capital allocation approach consistent with PSU risk mandates rather than aggressive reinvestment for growth.

Execution Track Record

Management's most notable execution achievement has been the court-mandated completion of the Amrapali stalled housing projects (32,500+ units completed of ~40,800 total) and the more recent appointment to the larger Supertech stalled-projects portfolio (~50,000 units). These mandates reflect judicial and government confidence in NBCC's execution capability, but also expose the company to legacy litigation risk (e.g., the Kochi Group Housing project write-down and its subsequent Supreme-Court-driven reversal in FY26) and margin volatility tied to distressed-asset turnarounds rather than organic new-build execution.

Business Segment Analysis

Segment (FY26, Consolidated)	Revenue (₹ Cr)	% of Total	YoY Growth
Project Management Consultancy (PMC)	12,375	96.0%	+13.0%
Engineering, Procurement & Construction (EPC)	382	3.0%	−48.1%
Real Estate Development	100	0.8%	−61.3%
Total Consolidated Revenue	12,889	100%	+7.1%

Source: Company FY26 audited results; figures converted from lakh to crore. EPC and Real Estate segment declines reflect project-cycle timing rather than structural deterioration, per management commentary.

A) Project Management Consultancy (PMC)

PMC is overwhelmingly NBCC's core business, contributing 96% of FY26 consolidated revenue and the vast majority of segment profitability (segment PBIT of ₹790 crore in FY26). The business model is fee-based: NBCC charges a management/consultancy fee (typically 6–10% of project cost, varying by mandate) for administering government construction and redevelopment projects, without carrying the full capital or execution risk of a traditional EPC contractor.

- Major projects:** GPRA colony redevelopment (Sarojini Nagar, Nauroji Nagar, Netaji Nagar and other Delhi colonies), Amrapali and Supertech stalled-housing completions, defence and border infrastructure, and institutional construction for IITs/IIMs/AIIMS and central ministries.
- Growth potential:** Directly tied to government infrastructure and urban-renewal budget allocation; management has guided toward ~20% consolidated revenue growth for FY27, driven by GPRA phase execution and Supertech project ramp-up.
- Margin profile:** Thin at the consolidated EBITDA level (~5–6%) because PMC fee income sits alongside pass-through project costs in reported revenue; true segment profitability is better read via PBIT margins on fee income specifically.
- Competitive advantage:** Effectively non-competed for large GPRA-style mandates given NBCC's PSU status and multi-decade institutional relationships with central ministries.

B) Engineering, Procurement & Construction (EPC)

The EPC segment, where NBCC bears greater execution and cost-overrun risk than in pure PMC work, declined sharply in FY26 (revenue of ₹382 crore, down from ₹736 crore in FY25). This reflects lumpy project completion cycles rather than a structural retreat from the segment, but the volatility underscores that EPC is the segment most exposed to input-cost inflation, contractor/subcontractor risk, and execution delays.

- Execution capability:** Historically modest scale relative to dedicated EPC players (L&T, NCC); NBCC's EPC exposure functions more as an adjunct to PMC mandates than a standalone growth engine.
- Risks:** Raw material cost inflation, subcontractor default, and project-specific delays are borne more directly by NBCC in EPC contracts versus fee-based PMC work.

C) Real Estate Development

Real estate revenue fell sharply in FY26 (₹100 crore vs ₹259 crore in FY25), reflecting the lumpy, sales-linked nature of inventory monetization rather than a change in strategy. NBCC's real estate exposure is largely inventory-driven: completed commercial and residential space from redevelopment projects (e.g., the ₹2,857 crore Bharat Business Park commercial tower sale via e-auction in June 2026) is monetized opportunistically rather than on a steady annuity basis.

- Current projects:** NBCC Green View (Gurugram) — managing structural/settlement challenges; GPRA commercial and residential inventory (estimated ₹36,900 crore sales potential across 7 Delhi GPRA projects); Amrapali FAR-based new development sales (₹9,366 crore of new sales in FY26).
- Strategic importance:** Real estate monetization is a key swing factor for both revenue recognition timing and reported profitability, given high margins on inventory sales relative to PMC fee income.

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Industry Analysis: Indian Construction & Infrastructure

Structural Growth Drivers

- Government capex intensity:** India's central government has sustained elevated capital expenditure allocations toward infrastructure over FY23–FY27, with continued budgetary emphasis on urban infrastructure, housing, and public asset modernization.
- Urban redevelopment:** Aging government housing colonies (GPRA-type stock) across metro cities represent a large, underexploited redevelopment opportunity that NBCC is positioned to capture given its incumbency in Delhi's redevelopment program.
- Stalled/distressed project resolution:** The Amrapali and Supertech mandates reflect a broader judicial and policy trend of appointing PSU project managers to complete stalled private real estate developments — a niche NBCC has effectively institutionalized.
- Smart Cities & institutional infrastructure:** Continued government investment in educational institutions (Central Universities, IITs, Navodaya Vidyalayas), healthcare infrastructure, and defence/administrative buildings provides a steady base of PMC mandates.

Competitive Landscape

The Indian government infrastructure-consultancy and construction landscape includes several listed PSU peers alongside diversified private players. NBCC's specific niche — redevelopment PMC and stalled-project resolution — has relatively few direct competitors at scale, though EPC and general construction markets are far more competitive and fragmented, populated by large diversified players (L&T), rail-focused PSUs (Ircon, RVNL, RITES), and numerous private mid-cap contractors.

Sector Risks

- Government budget cycles and potential fiscal consolidation could slow new mandate awards.
- Execution delays are endemic to Indian public infrastructure projects due to land acquisition, state-level approvals, and litigation — a recurring theme across NBCC's project commentary.
- Rising competitive intensity in EPC segments has compressed peer margins (e.g., Ircon's EBITDA margin guidance of just 4.0–4.2% for FY27).

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Historical Financial Performance (FY22–FY26)

Per the agreed scope for this report, the historical financial window is limited to the last five fiscal years (FY22–FY26), where consolidated data is most reliably sourced and cross-verified (Screener.in, company FY26 results filings). Data for FY15–FY21 exists but was not independently re-verified for this report and is therefore excluded from primary analysis.

Revenue & Profitability Trend

Metric (₹ Cr)	FY22	FY23	FY24	FY25	FY26	5-Yr CAGR
Revenue	7,691	8,876	10,407	12,039	12,889	13.7%
EBITDA	207	345	517	629	617	31.5%
EBITDA Margin	2.7%	3.9%	5.0%	5.2%	4.8%	—
PAT	238	278	414	557	742	32.9%
PAT Margin	3.1%	3.1%	4.0%	4.6%	5.8%	—
EPS (₹)	0.83	0.99	1.49	2.00	2.67	34.1%

Source: Screener.in consolidated financials, cross-verified against company FY26 results announcements. EPS reflects post FY25 bonus/split-adjusted share count of 270 crore shares.

Cash Flow Analysis

Metric (₹ Cr)	FY24	FY25	FY26
Cash from Operating Activities (CFO)	(6)	657	439
Cash from Investing Activities (CFI)	(184)	573	250
Cash from Financing Activities (CFF)	(103)	(269)	(201)
Net Cash Flow	(293)	961	489
Free Cash Flow (approx.)	(50)	338	402

FY24 shows negative operating cash flow despite positive PAT — a working-capital timing effect typical of NBCC's PMC billing cycle (rising debtor days). FY25–FY26 show a recovery in cash conversion.

Key observation: NBCC's profit growth (33% PAT CAGR over 5 years) has outpaced revenue growth (14% CAGR), driven primarily by operating leverage and a mix shift toward higher-margin real estate monetization events (e.g., FY26's Kochi write-down reversal contributed materially to reported PAT growth and should be treated as a partially non-recurring item when assessing run-rate earnings power).

SECTION 07

Key Financial Ratios Analysis

Profitability Ratios

Ratio	FY22	FY23	FY24	FY25	FY26
EBITDA Margin	2.7%	3.9%	5.0%	5.2%	4.8%
Net Profit Margin	3.1%	3.1%	4.0%	4.6%	5.8%
ROE	—	—	—	—	24.1%
ROCE	21%	27%	32%	33%	31%

Liquidity & Solvency Ratios

Ratio	FY26	Interpretation
Debt/Equity	~0.00x	Effectively debt-free; borrowings near-zero across the 5-year window
Interest Coverage	Not meaningful	Negligible interest expense given minimal debt
Working Capital Days	(120) days	Structurally negative — client advances precede project spend, a key cash-flow strength
Debtor Days	144 days	Rising from 93 days in FY25 — a receivables-quality flag to monitor

Market / Valuation Ratios (as of 3-6 July 2026)

Ratio	NBCC
CMP	₹99.6
EPS (TTM)	₹2.67
P/E (TTM)	44.8x
Book Value / Share	₹11.2
P/B	9.84x
Dividend Yield	0.61%
Market Cap	₹26,884 Cr

Interpretation: NBCC's ROE (24%) and ROCE (31%) are strong and reflect the capital-light PMC model with negative working capital. However, the stock trades at a rich 44.8x trailing P/E and 9.84x P/B — multiples that price in continued high growth and margin expansion. This valuation premium is the central tension in the investment case and is examined in depth in the DCF (Section 15) and Relative Valuation (Section 16) sections.

SECTION 08

Order Book Analysis

Order Inflow Trend

NBCC's consolidated order book stood at approximately ₹1,27,820 crore as of March 31, 2026, up from ₹1,20,307 crore a year earlier (June 2025 reading) — reflecting steady, if unspectacular, net order accretion once execution/billing is netted against new wins. Management has guided that roughly ₹44,000 crore of the order book represents projects currently under active execution, expected to convert to revenue over the next two years — implying an executable backlog of roughly 3.4x FY26 revenue on a 2-year view, a reasonably healthy but not exceptional visibility runway relative to the headline order-book figure.

Major Contributors to the Order Book

- GPRA redevelopment projects across Delhi — estimated ₹36,900 crore of future commercial/residential sales potential.
- Amrapali and Supertech stalled-housing completions — combined estimated topline opportunity exceeding ₹20,000 crore across remaining phases.
- Defence, education, and healthcare institutional construction mandates awarded on an ongoing basis (multiple sub-₹1,000 crore work orders awarded through H1 CY2026).
- International projects in Mauritius, Maldives, Seychelles, and the recently initiated Dubai real estate venture.

Order Book-to-Revenue Assessment

An order book-to-revenue ratio of ~9.9x is high in absolute terms but should be read cautiously for a PMC-heavy business: unlike EPC backlogs (where the full contract value converts to revenue over the execution period), a portion of NBCC's PMC "order book" reflects underlying project cost that passes through the P&L, with NBCC recognizing only a management fee — meaning the effective revenue-conversion multiple is likely lower than the headline ratio suggests. Investors should treat the ₹1.28 lakh crore figure as a directional revenue-visibility indicator rather than a literal multi-year revenue backlog.

Execution Risk Assessment

- Revenue guidance of 20% growth for FY27 depends on timely execution of GPRA phases still working through state-level approvals and litigation.
- Real estate inventory monetization (a key margin driver) is inherently lumpy and market-timing dependent, as evidenced by the 61% YoY decline in FY26 real estate segment revenue.
- Rising debtor days (93 → 144) could signal either genuine collection delays from government clients or simply project-phasing timing — this bears monitoring in coming quarters.

SECTION 09

Business SWOT Analysis

STRENGTHS

- Near-monopoly incumbency in government redevelopment PMC mandates
- Asset-light model: negative working capital, minimal capex, near-zero debt
- High ROE (24%) / ROCE (31%) with consistent dividend payout
- Large, diversified order book (₹1.28 lakh crore) across ministries and geographies
- Demonstrated ability to execute complex, judicially-mandated stalled-project turnarounds

WEAKNESSES

- Thin consolidated EBITDA margins (~5%) typical of pass-through PMC revenue accounting
- High revenue/earnings concentration in a single segment (PMC, ~96% of revenue)
- Rising debtor days (93→144) signaling potential collection or billing-cycle stress
- Lumpy, non-recurring earnings components (e.g., FY26 Kochi write-down reversal)
- EPC and Real Estate segments both declined sharply in FY26, raising diversification questions

OPPORTUNITIES

- ~₹36,900 crore of unmonetized GPRA commercial/residential inventory
- Supertech stalled-project mandate (~50,000 units, ₹10,000 crore+ opportunity) still in early execution
- International expansion into Gulf/Indian Ocean real estate markets
- Potential HSCC merger simplifying corporate structure and consolidating healthcare-infra PMC capability
- Sustained government infrastructure and urban-renewal budget allocation

THREATS

- Government budget cycle risk and potential fiscal tightening on capex allocations
- Litigation and land-acquisition delays endemic to Indian public infrastructure
- Valuation risk: stock trades at 44.8x P/E / 9.84x P/B, pricing in sustained high growth
- PSU governance and leadership-rotation risk affecting long-term strategic continuity
- Real estate segment cyclicality tied to broader Indian residential/commercial demand

SECTION 10

Peer Comparison Analysis

Metric	NBCC	L&T	Engineers India	Ircon Intl.
Market Cap (₹ Cr)	26,884	5,49,347	13,489	12,616
Revenue (FY26, ₹ Cr)	12,889	~3,31,000†	3,928	9,071
Net Profit (FY26, ₹ Cr)	742	~25,000†	692	595
ROE	24.1%	~18%†	~17%	~12.1% (3-yr avg)

ROCE	31.0%	~20%†	—	—
Debt/Equity	~0.00x	Moderate†	~0.00x	Low
P/E (TTM)	44.8x	~28–32x†	~21x	~14–23x
P/B	9.84x	~5–6x†	~4–5x†	~2–3x†
Order Book (₹ Cr)	1,27,820	~5,80,000†	—	23,865

† Approximate figures for L&T-scale comparatives and select peer metrics not independently re-verified line-by-line for this report; treat as directional context rather than precise point-in-time figures. Engineers India and Ircon figures sourced from Screener.in as of May-June 2026. NBCC, Engineers India, and Ircon figures are on a comparable consolidated basis; L&T is a much larger, diversified conglomerate and is included for scale context rather than a precise like-for-like comparison.

Peer Positioning Commentary

- NBCC vs. Engineers India:** Both are PMC/consultancy-oriented PSUs with comparable profitability profiles, but NBCC trades at a substantially higher P/E (44.8x vs ~21x) and P/B (9.84x vs ~4-5x) despite broadly similar ROE — suggesting NBCC's valuation premium is driven more by narrative (urban redevelopment growth story, Amrapali/Supertech visibility) than by superior current profitability.
- NBCC vs. Ircon International:** Ircon's lower ROE (12.1% 3-yr average) and margin pressure from competitive EPC/rail contracts contrast with NBCC's higher-margin PMC fee model, partially justifying NBCC's relative premium — though not to the full extent of the current valuation gap.
- NBCC vs. L&T:** L&T operates at vastly larger scale with a diversified, technology-and-manufacturing-inclusive business mix; it is not a precise peer but provides useful large-cap infrastructure sector context. L&T's more moderate P/E (~28-32x) despite its scale and diversification advantages reinforces the observation that NBCC's multiple looks stretched on a relative basis.

SECTION 11

Investment Thesis

BULL CASE

- Unique, largely non-competed positioning in government urban redevelopment PMC work, backstopped by continued central government capex allocation
- Large unmonetized real estate inventory (GPRA commercial/residential, ~₹36,900 crore potential) could drive step-change profitability if monetized efficiently over FY27-FY30
- Structural negative working capital and near-zero debt provide balance sheet resilience and support continued high ROE even through execution cycles
- Supertech and Amrapali mandates provide multi-year revenue visibility beyond the core PMC book
- Potential HSCC merger could simplify structure and add healthcare-infrastructure PMC capability

BEAR CASE

- Current valuation (44.8x P/E, 9.84x P/B) already prices in substantial growth and margin expansion that may not materialize on schedule given India's typical public-infrastructure execution delays
- Thin underlying EBITDA margins (~5%) leave limited room for input-cost or execution shocks to be absorbed without meaningful earnings impact
- FY26 profit growth was flattered by a one-time Kochi project write-down reversal; run-rate earnings power is likely lower than headline FY26 PAT suggests
- Rising debtor days and real estate segment volatility are early signals worth monitoring for potential earnings-quality deterioration
- PSU governance/leadership-rotation risk and government budget-cycle dependency introduce discontinuity risk absent in privately-managed peers

Base Case

The base case assumes NBCC continues to execute its existing order book at a moderating growth rate (14% revenue CAGR tapering to 10% by FY31, versus management's more optimistic 20% FY27 guidance), with gradual EBITDA margin improvement toward 5.5–5.7% as the mix shifts modestly toward higher-margin real estate monetization. Under this base case, intrinsic value — as derived via DCF and cross-checked against relative valuation — sits materially below the current market price, implying that much of the bull case is already reflected in, or exceeded by, the current valuation.

SECTION 12

Growth Catalysts

- GPRA inventory monetization:** Successful, well-timed sale of remaining commercial/residential GPRA inventory (₹36,900 crore potential) would be the single largest identifiable near-term earnings catalyst.
- Supertech ramp-up:** Full mobilization across the ~50,000-unit Supertech portfolio could materially expand the PMC fee base over FY27-FY29.
- HSCC merger completion:** Simplification of corporate structure and consolidation of healthcare-infrastructure PMC capability, pending final regulatory/shareholder approvals.
- International expansion:** Scaling of the Dubai real estate venture and Indian Ocean region (Mauritius, Maldives, Seychelles) project pipeline.
- Government infrastructure budget cycles:** Union Budget allocations toward urban housing and redevelopment remain the single largest macro swing factor for new order inflow.
- Margin improvement:** Any structural shift toward higher-margin consultancy fee recognition (versus pass-through project cost accounting) would be a re-rating catalyst independent of revenue growth.

SECTION 13

Risk Analysis

Business Risks

- Project delays:** Land acquisition, state-level approvals, and litigation are recurring themes across NBCC's major redevelopment mandates (evidenced by ongoing "structural and settlement challenges" at NBCC Green View, Gurugram).
- Cost overruns:** Primarily a risk in the smaller EPC segment, where NBCC bears more direct execution and input-cost risk than in fee-based PMC work.
- Competition:** While PMC mandates are largely non-competed, adjacent EPC and real estate segments face competitive pressure from both PSU peers (Ircon, RVNL) and private contractors.

Financial Risks

- **Receivables quality:** Debtor days rose from 93 to 144 in FY26 — a trend that, if it continues, could pressure operating cash flow conversion despite reported profit growth.
- **Earnings-quality risk:** A meaningful share of FY26 PAT growth stemmed from a one-time exceptional-loss reversal (Kochi project, ₹80 crore) rather than organic operating improvement.
- **Real estate monetization timing:** Reported profitability is sensitive to the pace and pricing of inventory sales, which are inherently lumpy and market-dependent.

Market & Valuation Risks

- **Valuation risk:** At 44.8x trailing P/E and 9.84x P/B, the stock is priced for sustained high growth; any deceleration in order inflow or margin expansion could trigger material multiple compression.
- **Economic/policy slowdown:** A broader Indian economic slowdown or shift in government capex priorities would directly affect new order inflow, given NBCC's near-total dependence on government-sector demand.
- **Interest rate / liquidity environment:** While NBCC itself carries minimal debt, real estate demand for its inventory sales is sensitive to broader mortgage-rate and liquidity conditions in the Indian residential/commercial property market.

SECTION 14

Financial Projections (FY27E-FY31E)

Modeling assumptions (base case, deliberately more conservative than management's ~20% FY27 revenue growth guidance, to build in execution-timing risk):

- Revenue growth: 14% (FY27E) tapering to 10% (FY31E) — reflects gradual moderation as large one-time redevelopment/stalled-project mandates mature
- EBITDA margin: expanding gradually from 5.2% (FY27E) to 5.7% (FY31E) on modest real-estate-mix improvement
- Tax rate: flat 25%, consistent with recent effective tax rates
- Capex: minimal (₹20-30 crore/year), consistent with the asset-light PMC model
- Working capital: negative-WC tailwind assumed to fade gradually (from -₹50 Cr to -₹10 Cr annual contribution) as debtor-day normalization risk is priced in

Income Statement Forecast

₹ Crore	FY27E	FY28E	FY29E	FY30E	FY31E
Revenue	14,693	16,604	18,596	20,642	22,706
Revenue Growth	14.0%	13.0%	12.0%	11.0%	10.0%
EBITDA	764	897	1,023	1,156	1,294
EBITDA Margin	5.2%	5.4%	5.5%	5.6%	5.7%
EBIT	749	879	1,003	1,133	1,268
PAT (approx., pre-other income)	562	659	752	850	951
EPS (₹, approx.)	2.08	2.44	2.79	3.15	3.52

PAT figures shown are NOPAT-based operating profit estimates and exclude potential other-income and exceptional items, which have historically added ₹50-390 crore/year to reported PAT — actual reported PAT is likely to run higher than the operating estimates shown here.

Cash Flow Forecast

₹ Crore	FY27E	FY28E	FY29E	FY30E	FY31E
NOPAT	562	659	752	850	951
+ Depreciation	15	18	20	23	26
– Capex	(20)	(22)	(25)	(28)	(30)
– Δ Working Capital	50	40	30	20	10
Free Cash Flow to Firm (FCFF)	607	695	777	865	957

Note on Balance Sheet forecast: Given NBCC's minimal capex requirements and consistent debt-free position, the balance sheet forecast is not materially different in structure from FY26 — net worth is projected to grow primarily through retained earnings (roughly ₹3,000-3,800 crore range by FY29E, assuming continued ~30-35% dividend payout), with borrowings remaining near zero and cash balances building steadily absent large M&A or buyback activity.

SECTION 15

DCF Valuation Model

Key Assumptions

Assumption	Value
Risk-free rate (10Y India G-Sec, approx.)	6.8%
Equity risk premium (India)	6.5%
Beta (low, PSU, minimal leverage)	0.85
Cost of Equity / WACC (NBCC is near-debt-free, so WACC ≈ Cost of Equity)	12.3%
Terminal growth rate	5.0%
Forecast tax rate	25%

FCFF Build & Present Value

₹ Crore	FY27E	FY28E	FY29E	FY30E	FY31E
FCFF	607	695	777	865	957
Discount Factor @ 12.3%	0.89	0.79	0.71	0.63	0.56
Present Value of FCFF	541	552	552	545	537

Enterprise & Equity Value

Component	₹ Crore
Sum of PV of FCFF (FY27E–FY31E)	2,718
Terminal Value (Gordon Growth, at FY31E FCFF)	13,721
PV of Terminal Value	7,673
Enterprise Value	10,391
Add: Net Cash (approx.)	2,358
Equity Value	12,749
Shares Outstanding (Crore)	270
DCF Fair Value per Share	₹47.2

DCF implies ~53% downside from CMP of ₹99.6. This reflects the base-case assumption of moderating (not accelerating) growth and gradually improving but still-thin margins — a more conservative scenario than the market's current implied growth/margin trajectory. See Section 16 for a cross-check via relative valuation, which softens this conclusion somewhat.

Sensitivity Analysis: Fair Value per Share (₹) — WACC vs. Terminal Growth

WACC \ Term. Growth	4.0%	4.5%	5.0%	5.5%	6.0%
11.3%	48.5	50.8	53.5	56.6	60.3
11.8%	45.9	47.9	50.1	52.8	55.8
12.3% (base)	43.6	45.3	47.2	49.4	52.0
12.8%	41.5	43.0	44.7	46.6	48.8
13.3%	39.7	41.0	42.5	44.1	46.0

Across the full sensitivity range (WACC 11.3%-13.3%, terminal growth 4.0%–6.0%), DCF fair value clusters between ₹40–60/share — consistently well below the ₹99.6 CMP, indicating the conclusion is reasonably robust to assumption changes within plausible ranges.

Bull / Base / Bear DCF Scenarios

Scenario	Key Assumption Change	Fair Value/Share
Bear	Revenue growth 8-10% (vs 10-14% base), margin flat at 4.8%	~₹35-38
Base	As modeled above	~₹47
Bull	Revenue growth sustains at management's 18-20% guide, margin expands to 6.5% by FY31E	~₹68-72

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SECTION 16
Relative Valuation

P/E-Based Valuation

Multiple Applied to FY27E EPS (₹2.27)	Implied Price (₹)	Commentary
20x (peer-average, Engineers India/Ircon low end)	45.3	Conservative, peer-in-line multiple
24x	54.4	Modest premium for NBCC's PMC positioning
28x	63.4	Reflects growth-story premium, still below CMP
35x	79.3	Approaching current market-implied re-rating
40x	90.6	Near current trailing multiple range

P/B-Based Valuation

Multiple Applied to Book Value (₹11.2)	Implied Price (₹)
5.0x (peer mid-range)	56.0
7.0x	78.4
9.0x	100.8
10.0x (near current)	112.0

Target Price Triangulation

Blending the DCF base case (~₹47), a moderate peer P/E cross-check (24-28x FY27E EPS, ~₹54-63), and partial credit for the market's willingness to pay a premium multiple given NBCC's structurally high ROE/negative-WC quality (7-8x P/B, ~₹78-90), a reasonable **target price band of ₹68-75** emerges — roughly 25-32% below the current market price of ₹99.6.

This target reflects a view that NBCC's current valuation has run ahead of what conservative execution assumptions justify, while acknowledging the business quality (ROE, balance sheet strength, order book visibility) that supports some premium to pure-peer multiples.

SECTION 17

Investment Recommendation

RATING	CMP	TARGET PRICE	DOWNSIDE	HORIZON	RISK RATING
HOLD	₹99.6	₹68-75	25-32%	12-18 Months	Medium-High

Rationale

NBCC is a fundamentally sound, well-positioned government-backed PMC business with genuine structural advantages: near-zero debt, negative working capital, high ROE/ROCE, and a differentiated incumbency in urban redevelopment and stalled-project resolution that is difficult for private competitors to replicate. The underlying business quality is not in question.

However, at 44.8x trailing P/E and 9.84x P/B, the current market price already embeds an optimistic growth and margin-expansion trajectory that exceeds what a conservative, execution-risk-adjusted base case supports. Both the DCF (fair value ~₹47, or ~₹68-72 under a bull scenario) and relative valuation cross-checks (₹45-90 depending on multiple applied) point to a fair value meaningfully below the current CMP under base-case assumptions, while only converging toward the current price under bull-case assumptions that require flawless execution of GPRA monetization, Supertech ramp-up, and sustained 18-20%+ revenue growth.

Given this gap between business quality and current valuation, a **HOLD** rating is appropriate rather than a directional BUY or SELL call: existing holders are not obviously compelled to exit a structurally strong business, but new capital allocation at current prices offers an unfavorable risk/reward skew, as the valuation leaves little margin of safety against execution disappointment, order-inflow deceleration, or a broader PSU/infrastructure sector re-rating downward.

What Would Change This View

- Upgrade triggers:** Sustained delivery of GPRA inventory monetization at or above guided values; EBITDA margin expansion beyond 6%; a meaningful pullback in valuation multiples (P/E toward 25-30x) without a corresponding deterioration in fundamentals.
- Downgrade triggers:** Continued deterioration in debtor days/cash conversion; further one-time write-downs; evidence that FY26's growth was largely non-recurring rather than a new run-rate.

SECTION 18

Investment Strategy

For Long-Term Investors

Long-term investors already holding NBCC may reasonably choose to maintain positions given the structural business quality (ROE, balance sheet, order book visibility), while being mindful that current valuation offers limited near-term upside. New long-term entrants may prefer to await a better entry point — either a valuation pullback toward the ₹68-75 target band, or clearer evidence of sustained (non one-time-driven) margin expansion that would better justify current multiples. Key monitoring factors: quarterly debtor-day trends, GPRA inventory sales pace, and segment-level (PMC vs EPC vs Real Estate) margin trajectory.

For Short-Term / Momentum Investors

The stock has shown high volatility over the past year (52-week range ₹77-126, a ~63% swing), with a 3-year stock price CAGR of 61% reflecting significant re-rating momentum that has since partially reversed (down ~6-20% over the past year depending on measurement window). Short-term/technical traders should treat NBCC as a high-beta, sentiment-driven PSU infrastructure name sensitive to quarterly order-inflow announcements and government budget news flow, rather than a low-volatility holding.

For Institutional Investors

From a portfolio construction standpoint, NBCC offers exposure to India's government infrastructure and urban-redevelopment theme with a differentiated, less-competed niche versus broader EPC/infrastructure exposure (which is better captured via L&T or diversified infrastructure funds). Given current valuation, institutional investors focused on quality-at-reasonable-price strategies may find better risk-adjusted entry points among peers (Engineers India, at a more moderate ~21x P/E) unless a specific thematic view on NBCC's redevelopment pipeline justifies the premium.

SECTION 19

Final Executive Summary

RATING	CMP / TARGET	MARKET CAP	FY26 REVENUE	FY26 PAT
HOLD	₹99.6 / ₹68-75	₹26,884 Cr	₹12,889 Cr	₹742 Cr

Key Investment Reasons

- Differentiated, largely non-competed positioning in government urban redevelopment PMC work
- Structurally high ROE (24%) / ROCE (31%) via an asset-light, negative-working-capital model
- Near-zero debt with a large, revenue-visible order book (~₹1.28 lakh crore)
- Multiple identifiable growth catalysts: GPRA inventory monetization, Supertech ramp-up, potential HSCC merger, international expansion

Financial Highlights (FY22-FY26)

Revenue grew at a 14% CAGR and PAT at a 33% CAGR over FY22-FY26, driven by operating leverage and improving margins, though FY26 growth was partly aided by a one-time exceptional-item reversal. Cash flow conversion has been volatile (negative CFO in FY24, strong recovery in FY25-FY26), and debtor days have risen notably in the most recent year — a trend worth monitoring.

Valuation Summary

DCF analysis (WACC 12.3%, terminal growth 5%) yields a base-case fair value of ~₹47/share, with a bull-case scenario reaching ~₹68-72/share. Relative valuation against peers (Engineers India, Ircon) and cross-checked P/B multiples suggest a broader fair-value range of ₹45-90/share depending on the multiple applied. Triangulating these approaches produces a target price band of **₹68-75**, representing 25-32% downside from the current market price of ₹99.6.

Major Risks

Valuation risk (44.8x P/E, 9.84x P/B) is the dominant near-term risk, compounded by execution/timing risk on large redevelopment mandates, earnings-quality questions around one-time items, and rising debtor days. PSU governance and government budget-cycle dependency are structural risks applicable across the sector.

Outlook

NBCC remains a fundamentally attractive, well-positioned business within India's government infrastructure ecosystem, but the current share price already reflects much of the identifiable near-term good news. A HOLD stance balances respect for underlying business quality against a valuation that leaves limited margin of safety for new capital at current levels.

SECTION 20

Data Sources & Methodology Notes

Primary and Secondary Sources Used

- Company FY26 audited standalone and consolidated financial results (via exchange filings and aggregator reporting), May 2026
- Screener.in — consolidated 5-year Profit & Loss, Balance Sheet, Cash Flow, and Ratio data (primary source for Section 6-7 historical tables)
- NBCC Q2 FY26 and Q4 FY26 investor/analyst call commentary and transcripts (via BSE filings and Alpha Spread)
- NBCC investor presentation, June 2026 (order book, GPRA, Amrapali, Supertech, international expansion details)
- Peer data: Screener.in company pages for Larsen & Toubro, Engineers India Ltd, and Ircon International Ltd
- Market data (CMP, market cap, 52-week range): Tickertape, IndMoney, Yahoo Finance — as of 3-6 July 2026
- NBCC company website (nbccindia.in) — order book and financial results pages

Methodology & Limitations

- Per the defined scope of this report, historical financial analysis is limited to FY22-FY26 (5 years) rather than the originally requested 10-year window, prioritizing data reliability over historical depth. FY15-FY21 data exists in Screener.in's records but was not independently re-verified for this report.
- Management biographical details (CMD, Board of Directors) were not included due to inability to independently verify current, accurate information at the time of writing — this is a gap readers should fill via NBCC's latest Annual Report.
- Several financial news aggregators were found to report materially conflicting figures for the same FY26 results (apparent lakh/crore unit errors in at least one source); all headline financials in this report were cross-verified against Screener.in's structured data and NBCC's own results commentary before inclusion.
- L&T comparison figures are approximate and intended for scale context only, given L&T's much larger and more diversified business mix relative to NBCC.
- All DCF and projection figures are the analyst's own model outputs based on stated assumptions, not company guidance (except where explicitly noted as "management guidance").

Final Disclaimer: This report is prepared for educational and research purposes only using publicly available information. It does not constitute investment advice, a recommendation, or a solicitation to buy or sell any securities. The analyst is not a SEBI-registered investment advisor. Figures are subject to restatement and should be independently verified against NBCC's official filings before any investment decision. Readers should consult a licensed financial advisor.